

Joint Matters Relating to the Quality Management (QM) Projects

Objective of Agenda Item

The objective of this Agenda Item is to discuss matters related to the projects on proposed ISQM 1¹, ISQM 2,² and ISA 220 (Revised)³ (the QM Projects) and to approve the conforming and consequential amendments arising from these projects.

A. Coordination Activities

1. Since the September 2018 IAASB meeting, the Quality Control Task Force, ISA 220 Task Force and ISQC 2 Task Force (the QM Task Forces) have worked closely together to address matters of coordination across the three QM projects. A series of teleconferences involving the Task Force chairs, Task Force members who serve on more than one of the Task Forces and IAASB staff have taken place. As part of this process, various drafts of the standards were shared among the Task Force chairs and IAASB staff and a comprehensive listing of coordination matters was developed to facilitate the alignment of the standards and the necessary updates to the standards during the December 2018 IAASB meeting.
2. The papers in **Agenda Items 2, 3 and 4** reflect each Task Force's proposals on matters related to the respective projects. It is acknowledged that further coordination and alignment will be needed during the December 2018 IAASB meeting. Accordingly, a joint QM Task Force meeting is planned for December 12 and the QM Task Forces will actively liaise as needed during the Board week.
3. **Agenda Item 5-B** provides an overview of the coordination activities with the IESBA regarding the projects on proposed ISQM 1, ISQM 2, and ISA 220 (Revised) and the matters of a significant nature discussed with IESBA as part of the coordination.

B. Conforming Amendments

4. The conforming amendments arising from proposed ISA 220 (Revised) were discussed at the September 2018 IAASB meeting. The IAASB had only limited comments on the proposed conforming amendments at that time.
5. In October 2018, the conforming amendments arising from proposed ISQM 1 were circulated to the IAASB for offline comment, along with updated conforming amendments for proposed ISA 220 (Revised). Only minor conforming amendments were needed for proposed ISQM 2, and these were also included in the draft circulated for offline comment. Only limited comments were received from IAASB members on the circulated draft.

¹ Proposed International Standard on Quality Management (ISQM) 1 (Previously International Standard on Quality Control 1) (Revised), *Quality Control for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance Engagements or Related Services Engagements*

² Proposed ISQM 2, *Engagement Quality Reviews*

³ Proposed International Standard on Auditing (ISA) 220 (Revised), *Quality Management at the Engagement Level*

6. **Agenda Item 5-A** includes the proposed conforming amendments for proposed ISQM 1, ISQM 2, and ISA 220 (Revised) marked from extant. **Agenda Item 5-B** includes the proposed conforming amendments marked from the October 2018 version circulated to the IAASB.
7. For the purposes of exposure, it is proposed that the conforming amendments be issued as an accompanying document separate from the exposure drafts of proposed ISQM 1, ISQM 2, and ISA 220 (Revised) and that the Explanatory Memorandums (EMs) of the respective standards include appropriate links to, and discussion about, the conforming amendments. The QM Task Forces will consider the Board feedback in finalizing the approach to be taken in obtaining comments from respondents on the conforming amendments.

Matter for IAASB Consideration

- 1) The IAASB is asked to approve the conforming amendments for exposure.

C. Explanatory Memorandum

8. In addition to the EMs supporting each of the QM projects, there will also be a brief joint EM that:
 - (a) Explains the history of the QM projects, including highlights of the key matters discussed in the Invitation to Comment (ITC), *Enhancing Audit Quality in the Public Interest*;
 - (b) Describes the relationship between the standards; and
 - (c) Includes a discussion about the proposed effective dates across the standards.

Agenda Items 2-D, 3, and 4 highlight areas that are expected to be covered in the respective EMs for the three QM projects. The QM Task Forces will consider the best approach to soliciting comments from respondents on the joint matters, i.e., whether these questions will be included in the joint EM, or in the respective EMs for the QM projects.
9. To facilitate effective written comments, Staff will prepare a template to aid respondents in preparing their comment letters. This template will encourage respondents to respond to the questions posed on each project separately, rather than only commenting generally on all three QM projects as a package.

Effective Date

10. The EM for a project usually outlines the IAASB's intended approach to setting the effective date of the final standard. For example, it may indicate that the effective date would be approximately 18–24 months after the approval of the final standard. The EM also typically includes a question about the effective date.
11. The QM standards pose a different implementation challenge than other IAASB standards. Proposed ISQM 1 deals with the firm's system of quality management, and both proposed ISQM 2 and proposed ISA 220 (Revised) are closely linked to ISQM 1, such that their implementation would necessarily be tied to the foundation provided by ISQM 1. Further, the importance of allowing enough time to effectively implement the standards needs to be weighed against the strong call to make the revised standards effective at the earliest possible date.
12. The Chairs of the QM Task Forces believe that the joint EM should address the possible effective dates of each of the QM projects and explain how the dates would work together. **Appendix A** to this paper sets out the proposed approach to the effective dates for the QM projects.

Matters for IAASB Consideration

- 2) The IAASB is asked to share its views on the approach to the joint EM.
- 3) The IAASB is asked to comment on the proposed effective dates for the three QM projects as outlined in **Appendix A**.

Exposure Period

13. The QM Task Forces are of the view that given the significance of the proposals across the three QM projects, the nature of the projects and their interrelationships, an extended exposure period is necessary to allow respondents sufficient time to consider the implications and practicalities of the proposals. Furthermore, the QM Task Forces recognize that the IAASB will be seeking the views of respondents on other projects during the period of exposure of the QM projects (the Strategy and Work Plan, Agreed-Upon Procedures and Emerging Forms of External Reporting). Accordingly, the QM Task Forces propose an exposure period of approximately 150 days. Staff plan to issue the package of exposure drafts (EDs), conforming amendments and EMs in late January 2019, which would mean that the exposure period would close no later than June 28, 2019.

Matter for IAASB Consideration

- 4) The IAASB is asked to comment on the proposed exposure period.

D. Outreach and Coordination Activities

14. During the fourth quarter of 2018, the Chairs of the QM Task Forces plan to undertake outreach with International Organization of Securities Commissions (IOSCO) Standing Committee 1 Auditing Subcommittee and International Forum of Independent Audit Regulators (IFIAR) Standards Coordination Working Group. Staff also plan to solicit input from the IFAC Small and Medium Practices Committee (SMPC) on the proposed standards. **Agenda Item 5-B** provides an overview of the coordination activities with the International Ethics Standards Board for Accountants and an explanation of the significant coordination matters.

Outreach During the Exposure Period

15. If the QM standards are approved for public exposure as planned, the QM Task Forces are planning to further engage with stakeholders during the exposure period through both webinars and direct outreach. This includes contact with National Auditing Standard Setters, key regulatory groups such as IFIAR's Standards Coordination Working Group and IFIAR's Inspections Working Group; practitioner groups such as the Forum of Firms and the IFAC SMPC; and public sector groups such as International Organization of Supreme Audit Institutions. Furthermore, roundtables will be considered for the three QM projects to solicit input from a wider stakeholder group that may be less inclined to submit comment letters and Board members will be encouraged to conduct outreach in their regions. A package of outreach material will be prepared for this purpose.

Matter for IAASB Consideration

- 5) IAASB members are asked to share their views on whether roundtables or webinars may be helpful in soliciting stakeholder input following the issuance of the ED.

E. Non-Authoritative Material

16. The QM Task Forces recognize that there may be a need for additional guidance to support the understanding of the proposed standards and address implementation considerations and challenges. As such, the practical example that was provided to the IAASB in September 2018 (see **Agenda Item 2–D** of the September 2018 meeting), which demonstrates how particular aspects of proposed ISQM 1 would be applied in the case of firms with different circumstances, will be further refined. Furthermore, additional examples will be added to address circumstances when responses to the firm's quality risks largely exist at the engagement level. The ISQM 2 Task Force will also consider what could be developed regarding engagement quality reviews.
17. The QM Task Forces will also continue to develop frequently asked questions (see, for example, **Agenda Item 2–E** of the September 2018 meeting) to explain some of the more complex areas of the standards in a less formal manner, and to provide additional examples to demonstrate how aspects of the standards could be implemented.
18. The additional materials will be finalized by the respective QM Task Forces and published following the release of the EDs. It is anticipated that the materials will be made available publicly within an appropriate timeframe to provide additional guidance to respondents in commenting on the proposed EDs.

Appendix A

Effective Dates

1. Given the integrated nature of the QM projects, the effective dates need to be coordinated across the three QM standards. This Appendix deals with the wording of the effective date paragraphs in each of the standards, and the proposed effective dates across the standards.

Wording of the Effective Date Paragraphs

2. Extant ISQC 1⁴ required systems of quality control in compliance with ISQC 1 to be established by December 15, 2009. The QM Task Force Chairs are of the view that such an approach remains appropriate for proposed ISQM 1, i.e., that the system needs to be established by a particular date. However, the QM Task Force Chairs noted that there may be varying interpretations of “established” and agreed that “established” would mean that the firm would be expected to have designed and implemented the system by the effective date such that it is capable of operation. However, the firm would not be expected to have fully operated the system by the effective date as many activities would necessarily occur after the effective date. Such activities would include undertaking monitoring and remediation activities and evaluating whether the system of quality management provides reasonable assurance that the objectives of the system have been achieved. Given the varying interpretations of “established”, the QM Task Force Chairs have proposed application material to support the effective date of proposed ISQM 1.
3. For proposed ISQM 2, the effective date would need to take into account the different nature of engagements subject to engagement quality review. Accordingly, a two-pronged approach is proposed, which recognizes that some engagements other than audits of financial statements do not cover a particular period.
4. For proposed ISA 220 (Revised), given the interrelationship between quality management at the firm level and at the engagement level, the effective date would be tied to audits of periods beginning on or after the effective date of proposed ISQM 1.

Proposed Effective Dates

5. In the Task Force discussions about the effective date, varying views were expressed about the appropriate length of time that will be needed to implement the standards, in particular for proposed ISQM 1. The following summarizes the matters raised in considering an appropriate implementation period:
 - **Firms will need sufficient time to effectively implement proposed ISQM 1 and to realize the anticipated benefits** – Firms have indicated that the implementation of proposed ISQM 1 will require significant effort and that an 18 month implementation period will likely not be sufficient to effectively implement the standard. Proposed ISQM 1 represents a substantial revision to the extant standard and incorporates a risk-based approach that will involve a different approach to implementation. Unlike extant ISQC 1 that sets forth the requirements for the firm's policies and procedures, proposed ISQM 1 is structured such that the firm must identify and assess its quality risks and design and implement its responses, i.e., a firm will be

⁴ International Standard on Quality Control (ISQC) 1, *Quality Control for Firms that Perform Audits and Reviews of Financial Statements, and Other Assurance and Related Services Engagements*

required to determine its own requirements to meet the objective of the standard. This is key to the scalability of the standard because the approach taken by a firm will be affected by the nature and circumstances of the firm and the engagements that it performs. It will therefore take time and effort for firms to determine what is needed in their circumstances. For smaller firms, there may be limited resources to deal with the changes needed to implement the standards, and they may be dependent on national standard setters or professional accounting organizations to develop implementation guidance and support materials. For larger firms, including those that operate as part of a network, there may be multiple levels of coordination and cooperation needed within the firm and the network, and they may need to make internal organizational changes and acquire or develop new resources, including new technology. Furthermore, some firms, particularly those that belong to networks, may need to test aspects of the system to determine that they are appropriate for use across the firm or the network before implementing them firm-wide or network-wide. A rushed implementation may exacerbate risks to audit and assurance quality and may lead to increased inspection findings.

- **The importance to the public interest in timely improvements to audit quality** – The information-gathering activities for the QM projects commenced in June 2014, followed by the release of the ITC in December 2015. The projects were initiated to improve quality management with the effect of improving audit quality. An effective date such as June 2022 or later may be perceived as too long for addressing important improvements to the quality of audit, assurance and related services engagements.
 - **Whether a June or a December effective date is appropriate** – Although there are varying financial year ends globally, in general December is a common financial year end for most jurisdictions. An effective date such as June 2022 would result in the firm being required to operate a new system of quality management mid-way through the year. This may create confusion for firms and engagement teams in circumstances when they perform audits of entities with December financial year ends, and the audit procedures commence early in the year (e.g., if the audit procedures commence immediately following the completion of the previous audit). On the other hand, a mid-year effective date enables firms to begin operating their systems of quality management prior to the busy periods commencing in jurisdictions where December is the most common financial year end.
 - **Translation** – The QM standards will need to be translated into local languages, so the implementation period will need to take this into account.
6. Taking into account the matters highlighted above, the Chairs of the QM Task Forces and Staff considered various implementation periods to appropriately balance the need for effective implementation against the public interest need for enhanced quality management standards to be in place as soon as possible. Although not all QM Task Force chairs were in agreement, the consensus was that an implementation period of at least 24 months from the date of final PIOB approval of the standards would be necessary. Assuming the standards are approved by the Board in March 2020 and PIOB approval of due process is obtained in June 2020, the proposed effective date would therefore be June 15, 2022. This would allow approximately 27 months from the Board's approval of the QM standards for firms to implement the standards. It is proposed that the EMs of the QM projects seek respondents' input on the effective dates, which would be as follows:

Proposed ISQM 1	Proposed ISA 220 (Revised)	Proposed ISQM 2
Systems of quality management in compliance with this ISQM are required to be established by June 15, 2022. <i>Application Material</i> A system of quality management is established when the firm has designed and implemented the system of quality management such that it is capable of operation.	This ISA is effective for audits of financial statements for periods beginning on or after June 15, 2022.	This ISQM is effective for: (a) Audits and reviews of financial statements for <u>periods</u> beginning on or after June 15, 2022; and (b) Other engagements beginning on or after June 15, 2022. <i>Application Material</i> For engagements other than audits and reviews of financial statements, the engagement begins when any work is planned or performed in relation to that engagement.

7. It is proposed that early adoption be permitted; however, all three standards would need to be early adopted as a package due to the links between them and the incompatibility of a mixture of the extant and new standards (i.e., early adopting proposed ISQM 2 would result in conflicting requirements with extant ISQC 1 and ISA 220).

Matters for IAASB Consideration

- 6) Does the IAASB support the proposed wording of the effective date paragraphs as shown in the table above?
- 7) Does the IAASB support the proposed implementation period of at least 24 months?